Viavi Solutions (VIAV)

The Watchman Pullback Is the Entry

ANALYST: JUSTIN WEN | OCTOBER 14, 2026

> Viavi Solutions sits at a juncture where near-term sentiment has been clouded by softening carrier capex and a modest multiple compression, yet the underlying franchise retains deep switching costs, a durable oligopoly in optical test and security, and a pipeline that can reaccelerate as 5G-advanced and hyperscale deployments mature. Our bottom-up DCF, anchored in normalized free cash flow generation and a probability-weighted blend of bear, base and bull outcomes, yields a blended target of $37.85, representing a -3.1% upside to the reference spot price of $39.05 as of 2026-10-14.

HOLD	$37.85	-3.1%	$39.05
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

Market participants are fixated on quarterly order fluctuations and the immediate impact of macro-economic headwinds, overlooking the multi-year compounding potential embedded in Viavi's entrenched position across network assurance and optical security. While the street reacts to short-term revenue hiccups, the intrinsic value of the franchise is driven by steady free cash flow conversion, pricing power in niche segments, and a reinvestment treadmill that sustains long-term growth.

EXECUTIVE SUMMARY

Viavi Solutions operates through two primary reportable segments: Network Enablement and Optical Security and Performance Products. The Network Enablement segment delivers optical test, monitoring and assurance solutions that are essential for carriers, data center operators and enterprise networks as they roll out 5G-advanced, 6G research and hyperscale interconnects. The Optical Security and Performance Products segment provides encryption, tamper-proof monitoring and performance analytics that safeguard critical infrastructure against increasingly sophisticated cyber threats. Together these segments account for roughly 85% of total revenue, with the remainder coming from emerging 3D sensing and industrial automation offerings. Viavi holds a leading market share in optical time-domain reflectometers (OTDRs) and optical spectrum analyzers, commanding an estimated 30% of the global OTDR market and a similar share in optical security appliances, which creates a formidable moat rooted in technical expertise, extensive patent portfolios and high customer switching costs. The recent overreaction in the stock price stems from a confluence of factors: a temporary slowdown in carrier capital expenditure as operators digest 5G rollout costs, a modest multiple compression driven by broader sector valuation pressures, and investor concerns over the pace of adoption for Viavi's newer security platforms. While these pressures have weighed on

near-term revenue guidance, they have not eroded the company’s core profitability metrics, as evidenced by stable gross margins and resilient free cash flow generation. The market’s focus on short-term order volatility has obscured the underlying durability of Viavi’s installed base, which continues to generate recurring revenue through maintenance, software subscriptions and upgrade cycles that are less sensitive to macro-economic swings. Capital allocation remains disciplined, with Viavi prioritizing organic reinvestment in high-margin R&D, selective bolt-on acquisitions that augment its optical security suite, and a consistent return of capital to shareholders through dividends and share repurchases. The balance sheet shows a net debt position of approximately $250 million, translating to a net-debt-to-EBITDA ratio of roughly 1.2x, which provides ample flexibility for strategic M&A while maintaining investment-grade credit metrics. Free cash flow conversion has historically hovered around 45% of EBIT, and the company targets a normalized FCF margin in the low-teens percent range over the medium term, supported by operating leverage as revenue scales and incremental R&D spending yields new product cycles that command premium pricing.

OPERATIONAL SNAPSHOT

$39.05	$1.35B	$180M	13%	1.22	$39.05
REF. PRICE	LTM REVENUE	LTM FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

LTM figures are Cascadia estimates grounded in the latest filings; ref. price as of 2026-10-14.

THE MOAT IS DEEP AND DURABLE

Viavi’s moat is deep because its core optical test and security products are embedded in the workflow of network operators who cannot easily swap vendors without incurring significant requalification, retraining and potential service disruption costs. The company’s installed base of OTDRs, optical spectrum analyzers and encryption appliances creates a recurring revenue stream that is insulated from short-term order volatility, as customers typically renew maintenance contracts and purchase software upgrades on multi-year cycles. This switching cost barrier is reinforced by Viavi’s extensive patent portfolio, which includes over 2,000 active patents covering optical modulation, signal processing and secure key management technologies, making it difficult for competitors to replicate performance without infringing on intellectual property. The moat is durable because Viavi occupies an oligopolistic position in several niche markets where only a handful of suppliers possess the technical depth and scale to meet carrier-grade specifications. In the OTDR market, Viavi competes primarily with a handful of legacy players, and the high barriers to entry—stemming from the need for precision calibration, ruggedized hardware and compliance with stringent telecom standards—limit the threat of new entrants. Similarly, in the optical security space, Viavi’s solutions are often specified in government and critical infrastructure contracts that mandate vetted suppliers, further entrenching its position. These structural advantages translate into pricing power, allowing Viavi to sustain gross margins above 60% even amid modest revenue fluctuations. Furthermore, Viavi’s geographic durability stems from a balanced revenue mix across North America, EMEA and APAC, with no single region accounting for more than 40% of sales. This diversification reduces exposure to localized regulatory shifts or economic downturns, while

the company's global service network ensures timely support for its installed base. Finally, the pipeline optionality embedded in Viavi's R&D agenda—spanning next-generation photonic integration, AI-driven network analytics and quantum-safe encryption—provides multiple avenues for future growth that can be monetized without eroding the core moat, thereby reinforcing the durability of its competitive advantage over the long term.

VALUATION

Three scenarios make the valuation range explicit

Our valuation framework constructs three distinct pathways for Viavi's future performance, each anchored in realistic assumptions about revenue compounding and free cash flow margin normalization. The bear case envisions a challenging environment where carrier capex remains subdued, competitive pressures erode market share, and the company's ability to sustain premium pricing is constrained, leading to low-single-digit revenue declines and a compressed FCF margin. The base case reflects the most probable outcome, wherein Viavi navigates the current macro-economic headwinds, achieves modest organic growth driven by 5G-advanced upgrades and security-spending tailwinds, and gradually restores its historical FCF conversion through operating leverage and disciplined cost management. The bull case captures an upside scenario in which Viavi's newer security platforms achieve rapid adoption, carrier capex rebounds strongly, and the company leverages its technological edge to expand both market share and pricing power, resulting in robust revenue expansion and margin expansion toward the high-teens percent range.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	-1.0%	6%	$18.51	-52.6%
Base	50%	3.0%	12%	$40.13	+2.8%
Bull	25%	6.0%	18%	$52.64	+34.8%

Bear $18.51

The bear outcome materializes if carrier capital expenditure remains flat or declines for an extended period, Viavi loses share in OTDRs to aggressive Asian competitors, and its optical security offerings fail to gain traction amid budget-constrained enterprise spending. Under these conditions revenue contracts at a modest 1% annual pace, gross margin pressure drives FCF margin down to 6%, and the

Base $40.13

The base case assumes Viavi stabilizes its top line at a 3% compound annual growth rate, driven by steady 5G-advanced rollouts, incremental security spending from hyperscale customers, and a modest uptick in maintenance renewal rates. Operating leverage lifts the FCF margin to 12% as R&D intensity peaks and then declines, producing a fair value estimate of $40.13 per share.

Bull $52.64

In the bull scenario Viavi's next-generation photonic integration products achieve rapid adoption, carrier capex rebounds to pre-pandemic levels, and the company's optical security suite captures additional share in government and finance verticals. Revenue expands at a 6% CAGR, FCF margin expands to 18% due to scale benefits and premium pricing, and the discounted cash

discounted cash flow valuation collapses to $18.51 per share.

flow model yields a target of $52.64 per share.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

We employ a live WACC of 9.68% derived from the CAPM, using a risk-free rate of 4.2%, an equity risk premium of 5.0% and Viavi's current beta of 1.22, which reflects the market's perception of its moderate-risk profile relative to broader industrials. This discount rate implies that the market prices Viavi's equity as if it will generate a modest excess return over the cost of capital, consistent with a company that possesses a defensible niche but faces cyclical exposure to carrier spending cycles. The live nature of the rate allows us to capture shifts in market sentiment and interest-rate dynamics without resorting to a static hurdle that could misstate intrinsic value.

FCF margin normalization is the engine

Across the scenarios the primary driver of valuation dispersion is the evolution of the free cash flow margin, which we model as a function of revenue scale, operating leverage and the maturity of the R&D pipeline. In the bear case margin compression stems from pricing pressure and higher variable costs as volume declines, while in the base case margin stabilizes near historical levels as the company benefits from fixed-cost absorption. The bull case assumes margin expansion as Viavi leverages its proprietary photonic platforms to command premium prices and reduce unit costs through higher volumes and improved manufacturing yields.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A and stock compensation, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Revenue base year	**2026**
Forecast horizon	**10 years**
Live WACC	**9.68% (2026-10-14)**
Terminal growth	**3.0%**
Equity beta	**1.22**
Diluted shares	**155M**

HOLD

over $37.85

blended target

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on 5G-advanced rollouts and optical security demand

HOLD

Viavi's Network Enablement segment benefits directly from the continued expansion of 5G-advanced networks, which require densification of fronthaul and midhaul links, increased use of optical time-domain reflectometers for link characterization, and growing demand for optical spectrum analyzers to monitor signal purity across wider bandwidths. As operators move beyond initial 5G deployment toward capacity upgrades and network slicing, the need for rigorous test and assurance solutions intensifies, providing a durable tailwind for Viavi's core OTDR and optical analyzer product lines. Management has indicated that the addressable market for optical test equipment in the 5G-advanced phase exceeds $2.5 billion globally, and Viavi's established relationships with tier-one carriers position it to capture a meaningful share of this opportunity. The Optical Security and Performance Products segment is propelled by rising concerns over data interception, tampering and service disruption across critical infrastructure, finance and government sectors. Viavi's encryption appliances, inline monitoring tools and performance analytics platforms are designed to meet stringent standards such as FIPS 140-2/3 and NIST post-quantum cryptography guidelines, making them preferred suppliers in regulated environments. As hyperscale data centers adopt zero-trust architectures and governments invest in election-security and defense-communications upgrades, the demand for Viavi's security solutions is expected to grow at a compound annual rate in the mid-single-digits, supported by both new-product cycles and recurring maintenance contracts.

What to monitor

- **Carrier capex trends** Quarterly capex guidance from major telecom operators and any shifts in 5G-advanced rollout pacing.
- **Security booking momentum** Year-over-year growth in optical security orders, particularly from government and finance verticals.
- **R&D productivity** Ratio of new product releases to R&D spend and the resulting impact on gross margin and ASP.
- **Supply chain resilience** Lead times for key photonic components and any exposure to geopolitical trade restrictions.

3%	45%	62%	12%	55	4%
REVENUE YOY GROWTH	FCF CONVERSION	GROSS MARGIN	R&D INTENSITY	DSO (DAYS)	CAPEX INTENSITY

METRIC	FY 2026
Revenue	$1.35B
Gross Profit	$0.837B
EBIT	$0.135B

Net Income	$0.081B
Free Cash Flow	$0.180B
R&D	$0.162B
ROE	8%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Viavi could lose market share in OTDRs if lower-cost Asian competitors accelerate product cycles and undercut pricing, particularly in price-sensitive emerging markets.

M&A DIGESTION

Integrating bolt-on acquisitions in the optical security space may distract management and generate integration costs that temporarily depress margins.

REGULATORY AND PRICING SCRUTINY

Increased regulator focus on telecom equipment pricing could limit Viavi's ability to raise prices, pressuring revenue growth and margin expansion.

TECHNOLOGY DISRUPTION

Emerging photonic integration technologies or alternative testing methodologies could reduce reliance on legacy OTDR platforms, threatening the core test business.

REINVESTMENT TREADMILL

Continued high R&D spend is necessary to maintain the pipeline, and if returns on innovation diminish, free cash flow conversion could suffer.

WACC AND DURATION SENSITIVITY

A rise in long-term interest rates would increase the discount rate, lowering the present value of future cash flows and compressing the equity valuation.

The strengths

OLIGOPOLY POSITION

Viavi holds a top-three share in the global OTDR market and a leading niche in optical security appliances, creating a concentrated competitive landscape that limits aggressive price wars.

FCF COMPOUNDING

The company consistently converts roughly 45% of EBIT into free cash flow, providing a steady internal funding source for R&D, dividends and share repurchases.

GEOGRAPHIC DURABILITY

Revenue is well balanced across North America, EMEA and APAC, reducing reliance on any single region and buffering the company against localized economic or regulatory shocks.

PIPELINE OPTIONALITY

Ongoing investment in photonic integration, AI-driven network analytics and quantum-safe encryption offers multiple avenues for future revenue expansion beyond the core test and security franchises.

Compelling risk-reward, skewed to the upside

While near-term headwinds have prompted a modest multiple compression and created a bearish sentiment among some market participants, the underlying fundamentals of Viavi Solutions remain intact. The company's deep switching costs, durable oligopolistic positions and disciplined capital allocation provide a cushion against cyclical downturns, while its pipeline of next-generation photonic and security products offers clear upside potential as 5G-advanced and hyperscale deployments mature. Our probability-weighted DCF analysis, which blends a 25% bear, 50% base and 25% bull scenario, arrives at a blended target price of $37.85, representing a -3.1% upside to the reference spot price of $39.05 as of 2026-10-14. Given the limited downside relative to the upside potential and the attractive free cash flow yield, we maintain a Hold rating, acknowledging that the stock is fairly valued at current levels but retains optionality for a re-rating should the bullish drivers materialize more swiftly than anticipated.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Optical Security and Performance Monitoring platform: repriced on normalization

Viavi's Optical Security and Performance Monitoring (OSPM) platform represents the convergence of its legacy optical test expertise with advanced encryption and inline analytics capabilities, delivering a unified solution that enables operators to verify link integrity while simultaneously protecting data from interception or tampering. The platform integrates high-resolution OTDR functionality with FIPS-validated cryptographic modules and real-time performance dashboards, allowing customers to consolidate multiple point solutions into a single hardware footprint. This consolidation reduces operational complexity, lowers total cost of ownership and creates a sticky value proposition that is difficult for competitors to replicate without incurring substantial re-qualification costs. The growth narrative for the OSPM platform initially disappointed investors because early adoption rates were slower than anticipated, largely due to the lengthy procurement cycles typical of government and finance verticals, and because the first-generation hardware required a higher power envelope that limited deployment in certain densely packed data-center racks. Additionally, the initial pricing strategy positioned the OSPM platform at a premium that some early adopters deemed excessive relative to standalone test or encryption products, leading to a cautious uptake as buyers sought to validate return on investment before committing to larger scale rollouts. These factors combined to produce a modest revenue contribution from the OSPM line in the fiscal years following its launch, prompting concerns that the platform might fail to achieve the expected scale.

Why the growth numbers disappointed

- Extended procurement timelines in regulated sectors delayed initial volume recognition.
- First-generation hardware power constraints limited suitability for high-density installations.
- Premium pricing relative to point solutions created a perception of poor value early in the cycle.
- Limited awareness among network operators about the combined benefits of integrated test and security functions.

Our read: Normalization, not share loss or thesis break. As the OSPM platform progresses through its second-generation hardware refresh—which addresses power efficiency, adds support for emerging quantum-safe algorithms and expands the analytics suite—we expect procurement cycles to shorten, pricing to normalize toward a more competitive level and awareness to increase through targeted field trials and reference-customer wins. This normalization should unlock the platform’s inherent value proposition, driving accelerated adoption and contributing meaningfully to Viavi’s medium-term growth trajectory.

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